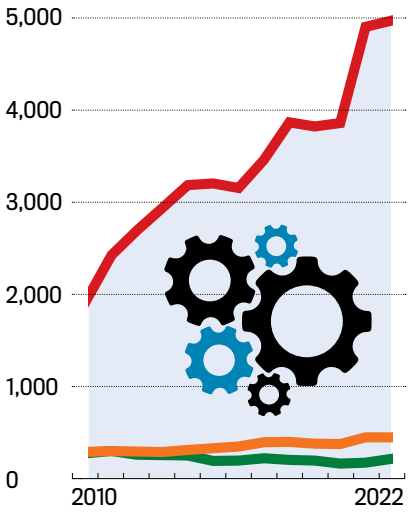
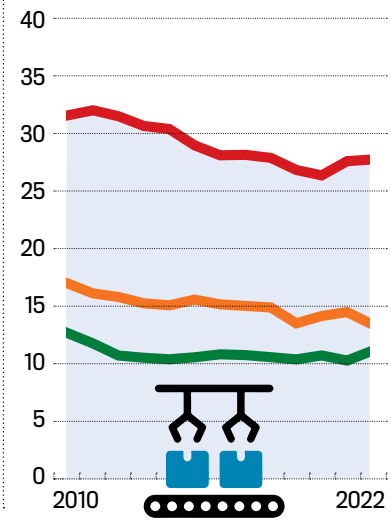
NEED TO STEP ON THE GAS

Taking a cue from China, India should ensure that about 30 per cent of its GDP comes from the manufacturing sector. At present, it contributes just over 13 per cent

MANUFACTURING OUTPUT IN $ BILLION



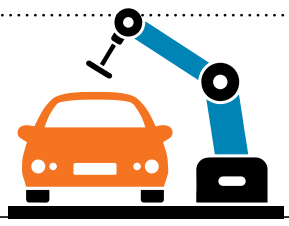
MANUFACTURING OUTPUT AS % OF GDP



CHINA INDIA BRAZIL *Source: macrotrends.net; for organised sector*

THE KEY DRIVER

A lot will depend on automotive industry, which contributes 7.1% of India's GDP and 4.7% of exports



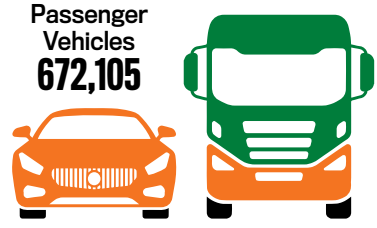
EXPORT TRENDS

Two-wheelers form the bulk of India's vehicle exports. Other vehicle categories need to catch up too

VEHICLES EXPORTED IN FY24

Commercial Vehicles **65,816**

Passenger Vehicles **672,105**



Two-wheelers **3,458,416**

WHERE INDIA STANDS

India is already competing with the best in the world in the export of automobiles and auto components

EXPORT VALUE IN 2023 (In $ Mn)*

Germany	229,735
China	199,746
Japan	198,119
US	186,466
India	183,074
South Korea	175,133

**All kinds of vehicles, including two- and three-wheelers, and auto components*

Source: Society of Indian Automobile Manufacturers; trademap.org

Modi aims for India to become a $10 trillion (Rs 839.5 lakh crore) economy by 2031-32 from the existing $3.94 trillion (Rs 331 lakh crore), requiring more than a 12 per cent CAGR. This can't be achieved unless the manufacturing sector starts firing on all cylinders and contributes at least a third of GDP. The Economic Survey indicates that consumption is growing at 4 per cent, roughly half the rate of GDP growth, and capacity utilisation of existing factories remains at 74-76 per cent. A World Bank report, on the other hand, forecasts global growth to stay steady at 2.6 per cent in the current fiscal. The report notes that the major growth engines are not the developed economies of the West, but India and China. This means Indian manufacturers will have to rely more on domestic consumption than on any surge in export demands.

ACCELERATING MANUFACTURING

With India's expanding workforce availability, factories remain big work churners. The Reserve Bank of India's KLEMS (capital, labour, energy, materials, services) database shows 46.6 million added to the organised workforce in the previous fiscal. To accelerate manufacturing, India requires a multipronged strategy: strengthening the ecosystem for intermediary product manufacturing, turning MSMEs from just auxiliary manufacturers for the mother industry to also the makers of new products, and integrating them into the global value chain. In the past four years, India has taken steps in this direction—for instance, the production-linked incentive (PLI) schemes in 14 sectors that incentivise manufacturing of products to substitute imports and capitalise on opportunities that are emerging from the